Hold, sell, or 1031: the 12 questions to answer first

Apollo Advising
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Work through these before you list, refinance, or sign anything. Each one has a place to find the number and something to watch for. You do not need every answer to be exact. You need them to be honest.

1 What is the property worth today, and what would you actually net?

Where to find it. Recent comparable sales, minus 6% to 8% for commissions and closing costs, minus the loan payoff.

This is the money a sale would free up. Every other number is compared against it.

Your answer

2 What does it earn on that equity each year?

Where to find it. A year of net cash flow divided by value minus loan balance. Our return on equity calculator does it in a minute.

Long-held rentals often earn 2% to 4% on equity, even when the cash flow feels fine.

Your answer

3 What is the true cash flow after every cost?

Where to find it. Last year's rent minus taxes, insurance, repairs, management, HOA, and a reserve for capital items.

If you self-manage, count your time. If you skip the reserve, the roof will remind you.

Your answer

4 What big expenses are coming in the next five years?

Where to find it. The age of the roof, HVAC, water heater, flooring, and any foundation or drainage issues.

A $15,000 replacement right after you decide to keep can change the answer.

Your answer

5 What would you owe in tax if you sold?

Where to find it. Your purchase price, improvements, and depreciation taken, from past returns. Your CPA can estimate the rest.

Depreciation recapture is taxed at up to 25% federally, even if you never claimed it.

Your answer

6 Is a 1031 exchange realistic, and would you want the replacement?

Where to find it. Whether a replacement worth owning exists in your timeline: 45 days to identify, 180 to close.

Never buy a weak property just to save tax. Paying the tax can be the better deal.

Your answer

7 Could a different strategy earn more from the same property?

Where to find it. Rent comps for long-term, furnished 30-day, and short-term stays, plus your city and HOA rules.

More gross revenue often means more cost, time, and rule risk. Compare what you keep.

Your answer

8 Would refinancing or a HELOC help, or just add risk?

Where to find it. Your current rate, today's rates, and whether the rental still cash-flows with the higher payment.

A cash-out refinance reprices your whole balance, not only the new cash.

Your answer

9 How much of your time does it take, and how much do you want it to take?

Where to find it. A rough log of hours: calls, repairs, turnovers, bookkeeping, and the worry you carry.

Price your time. A manager at 8% to 10% of rent may be the cheapest fix.

Your answer

10 How does it fit your timeline and goals?

Where to find it. When you want to retire, simplify, help family, or pass property to heirs.

Heirs generally receive a stepped-up basis, which changes the math on selling now.

Your answer

11 What could go wrong if you keep it?

Where to find it. How much of your net worth is in this one property, insurance trends, tax increases, and vacancy.

In Texas, the 20% cap on rental appraisal increases is set to end after 2026.

Your answer

12 Who else needs to weigh in before you decide?

Where to find it. Your CPA, attorney, lender, spouse or co-owners, and anyone who will inherit the property.

Bring them this page. It is far easier to agree on facts than on opinions.

Your answer

Where you landed

Check the paths that deserve a closer look, then take this page to your CPA and anyone who shares the decision.

- [ ] Keep as is
- [ ] Change strategy
- [ ] Refinance or HELOC
- [ ] Sell
- [ ] 1031 exchange
- [ ] Not sure yet

Notes

Want help with the answers? Book a free 30-minute call at apolloadvising.com/book, or order a $99 written property analysis at apolloadvising.com/property-analysis. Hourly consulting is $199 per hour, billed in 15-minute increments.

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